IN THE NATIONAL COMPANY LAW TRIBUNAL
NEW DELHI BENCH (COURT- III)

CA (CAA) -102/(ND)/2022

IN THE MATTER OF SCHEME OF ARRANGEMENT:

BETWEEN

GSC GLASS PRIVATE LIMITED

…….DEMERGED COMPANY
(APPLICANT COMPANY-l)

AND

GSC ALUSYSTEMS PRIVATE LIMITED

……RESULTING COMPANY/
TRANSFEREE COMPANY
(APPLICANT COMPANY – 2)

AND

EVERLAST ENGINEERING PRIVATE LIMITED

…….TRANSFEROR COMPANY
(APPLICANT COMPANY -3)

Order Delivered on: 03.03.2023

SECTION: 230 – 232 of the Companies Act, 2013

Coram:
SHRI BACHU VENKAT BALARAM DAS, HON'BLE MEMBER (JUDICIAL)
SHRI L.N. GUPTA, HON'BLE MEMBER (TECHNICAL)

For Applicant: CS Naveen Narang

ORDER

PER: BACHU VENKAT BALARAM DAS, MEMBER (JUDICIAL)

1. This petition has been filed by the 3 Applicant Companies under Sections 230 and 232 of the Companies Act, 2013 read with Rules 3 & 5 of the Companies Act, 2013, the Companies (Compromises, Arrangements and Amalgamations) for the purpose of approving the Scheme of Amalgamation of GSC Glass Private Limited, GSC Alusystems Private Limited and Everlast Engineering Private Limited as contemplated between Demerged Company, Transferee Company/Resulting Company and Transferor Company. The copy of the scheme has been placed on record.

2. An affidavit in support of the above applications sworn for and on the behalf of Applicant Company No. 1/ Demerged Company and Applicant Company No.3 / Transferor Company by one Mr. Sharanjit singh and for Applicant Company no.2 / Transferee Company by one Mr. Charanjit Singh Malik.

3. The Board of Directors of the Applicant Company No. 1/ Demerged Company, Applicant Company no.2 / Transferee Company and Applicant Company No.3 / Transferor Company have approved the proposed scheme of Amalgamation and same was approved vide Board Resolutions as Annexure – 2 (Page 59-62) for Applicant Company No.1 , Annexure – 8 (Page 280-283) for Applicant Company No. 2 and Annexure – 14 (Page 350-353) for Applicant Company No. 3.

4. The present petition has been filed by the Demerged Company, Transferee Company and Transferor Company (hereinafter called “the Petitioner Companies”). It is represented that the registered office of the Petitioner Company being situated in Delhi, therefore, jurisdiction lies with this Tribunal. Counsel has given brief description of the petitioner companies.

- **GSC Glass Private Limited** (Applicant Company No. 1)

I. GSC GLASS PRIVATE LIMITED (herein after referred to as "Demerged Company" or "Applicant Company - l') bearing CIN U74899DL1989PTC035305. The Registered office of the Company is presently situated at 802 Arjun Nagar. Bhisham Pitamah Marg, New Delhi - I 10003 India. The Authorized Capital of the Applicant Company- I is INR 73,000,000/- The Issued, paid-up and subscribed capital of the Applicant Company- I is INR

31,687,900/-. The company has 6 shareholders. All the shareholders have given their consents / NOC by way of Affidavits for the proposed Scheme of Arrangement. The company has no secured creditors. The company has 134 unsecured creditors out of which 132 unsecured creditors have given their consents as 98.82%

- **GSC Alusystems Private Limited** (Applicant Company No. 2)

I. GSC ALUSYSTEMS PRIVATE LIMITED (herein after referred to as "Resulting Company" or "-Transferee Company" or "Applicant Company - 2") bearing CIN U28999DL2021PTC188379 was originally incorporated on l4th October, 2021 under the Companies Act. 20l3 in the name and style of GSC Alusystems Private Limited and certificate of incorporation was obtained from Registrar of Companies C'ROC"), Delhi. The Registered office of the Company is presently situated at Shop No. 802. Kotla Mubarakpur. Near Temple. Bhisham Pitamah Marg, Delhi - I10003 India. The Authorized Capital of the Applicant Company-2 is INR 1,200,000/-. The Issued, Paid-Up And Subscribed Capital of the Applicant Company-2 is INR 500,000/ The company has 3 shareholders. All the shareholders have given their consents / NOC by way of affidavits for the proposed Scheme of Arrangement. The company has 1 secured creditor who has given his consent. The company has 2 unsecured creditors. Both have given their consents.

- **Everlast Engineering Private Limited** (Applicant Company No. 3)

I. Everlast Engineering Private Limited (herein after referred to as "Transferor Company" or "Applicant Company 3") bearing CIN r.199999DL1987PTC395284 was originally incorporated on 07th July, 1987 under the Companies Act, 1956 in the name and style of Everlast Engineering Private Limited and certificate of incorporation was obtained from Registrar of Companies ('ROC'), Mumbai. On.15.02.2022 the Company shifted its registered office from the state of Maharashtra to National Capital territory of Delhi to the present address and ROC has issued Certificate of Registration of Regional Director order for Change of State on 22.03.2022. The Registered office of the Company is presently situated at 802 Arjun Nagar, Kotla Mubarakpur (Near Temple), Bhisham Pitamah Marg, New Delhi I 10003, lndia. The Authorized Capital of the Applicant Company-3 is INR 2,500,000/-. The Issued, Paid-Up And Subscribed Capital of the

Applicant Company-3 is INR 2,000,000/- The company has 2 shareholders both have given their consent/ NOC by way of Affidavits for the proposed Scheme of Arrangement. There are no Secured Creditor and Unsecured Creditor in the Company.

4. Ld. Counsel appearing for the Applicant Companies has prayed for dispensation of calling/convening/holding the meeting of Applicant Companies. The convenience chart is reproduced below:-

COMPANY	No. of Shareholders	Consent Given	No. of secured Creditors	Consent Given	No. of Unsecured Creditors	Consent Given
Demerged Company/ Applicant Company No. 1	6 Page No. 63	100% Page No. 64-81	NIL Page No. 116 CA Certificate at 122	NA	134 Page No. 17-121 CA Certificate at 123-129	98.8% Page no. 130-261
Resulting Company/ Transferee Company/ Applicant Company no. 2	3 Page no. 284	100% Page no.285-296	1 Page no. 309 CA Certificate at 311)	100% Page No 313-316	2 Page No. 310 (CA Certificate at 312)	100% Page No. 317-324
Transferor Company/ Applicant Company No. 3	2 Page No. 354	100% Page no.352-362	NIL Page no. 379	NA	NIL Page no. 380	NA

5. The Petitioner Companies submit that the Scheme of Arrangement would benefit the Petitioner Companies and their respective shareholders and creditors inter alia on the account of the following reasons:-

A. The principal factors based on which the above Composite Scheme of Arrangement amongst the Demerged Company, the Resulting Company/ Transferee Company and the Transferor Company has been proposed and recommended by the Board of Directors of the Applicant Companies are as under:-

- Majority of equity shares of the Companies are held by common group of shareholders and the management is also done by common people. The proposed composite scheme for demerger of Aluminium Business (Demerged Undertaking) from the Demerged Company and its transfer to and vesting into the Resulting Company would enable segregation and unbundling of the Aluminum Business and enhanced focus by both the Demerged Company and the Resulting Company on exploiting opportunities in their respective businesses and the subsequent merger of the Transferor Company with the Transferee Company would thereby lead to unlocking of values of the consolidated Transferee Company.

- The independent operations of Demerged Company and the Resulting Company would help in de-leveraging of the balance sheet of the Demerged Company including reduction of debt and outflow of interest as well as creation of value for its shareholders and the subsequent amalgamation will contribute in furthering and fulfilling the objectives and business strategies of all the companies thereby accelerating growth, expansion and development of their business. The amalgamation would also provide the Transferee Company a strong and focused base to undertake the business more advantageously.

- Independent operations of Companies incur a significant cost and thus the proposed scheme would enable economies of scale by attaining critical mass and achieving cost saving.

- Proposed Composite Scheme of Arrangement will contribute in furthering and fulfilling the objectives and business strategies of the applicant Companies thereby accelerating growth, expansion and development of their business.

6. The Composite Scheme of Arrangement is proposed for the aforesaid reasons. The Board of Directors and Management of the Demerged Companies, the Resulting Company and the Transferor Company are of the opinion that the proposed Scheme is in the best interest of these companies, their Shareholders and other stakeholders.

7. Having heard the submissions made by Ld. Counsel and having perused the records as well as documents placed on record, ***we allow the prayer for dispensation of the meetings of the Shareholders of Applicant Company No. 1, No. 2 and No. 3 and meetings of Unsecured Creditors of Applicant Company No. 1, No. 2 are also dispensed. The meeting of Secured Creditors and Unsecured Creditors of Applicant Company No.2 is also herby dispensed. As there are no secured creditor in Applicant Company No. 1 and 3 so dispensation of meeting of secured creditor is not required. As there are no unsecured creditors in Applicant Company no. 3 so dispensation of meeting not required.***

8. The application stands allowed.

SD/-	**SD/-**
(L. N. GUPTA)	**(BACHU VENKAT BALARAM DAS)**
(MEMBER TECHNICAL)	**(MEMBER JUDICIAL)**